

# Vendor collaboration in Microsoft Dynamics 365 for Finance and Operations

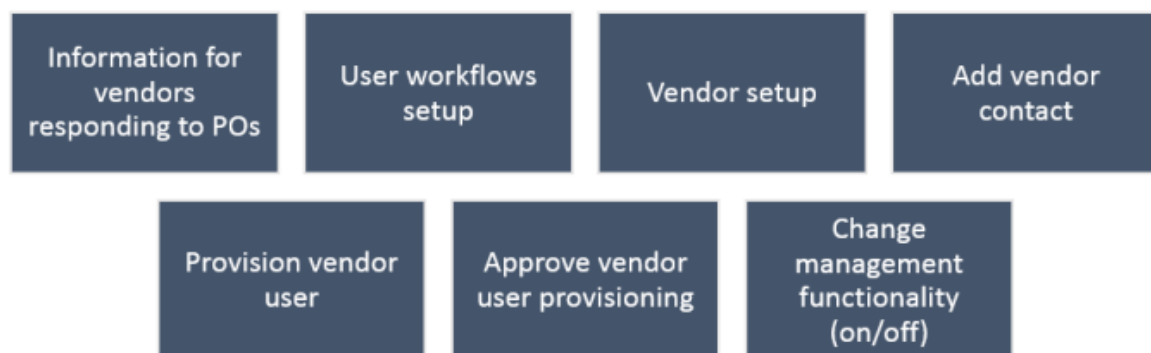
Vendor collaboration is a process where you, as a company, grant the access to your vendors in order to perform the following:

- review, accept, and reject request for quotations (RFQs)
- review, accept, reject, accept with the changes purchase orders (POs)
- perform vendor invoicing
- work with consignment stock

Since Microsoft Dynamics 365 for Finance and Operations is web-based application, you can easily allow vendors work directly in the Microsoft Dynamics 365 for Finance and Operations without having EDI.

## Setup

You would need to complete the following configuration prior working with it.



Let's review those settings.

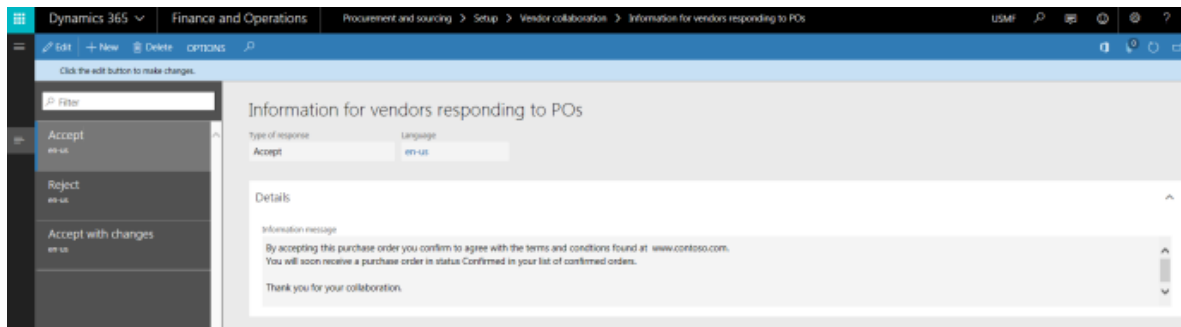
### Information for vendors responding to POs

Navigate to **Procurement and sourcing > Setup > Vendor collaboration > Information for vendors responding to POs**

Click **New** to create new response.

Select **Type of response**.

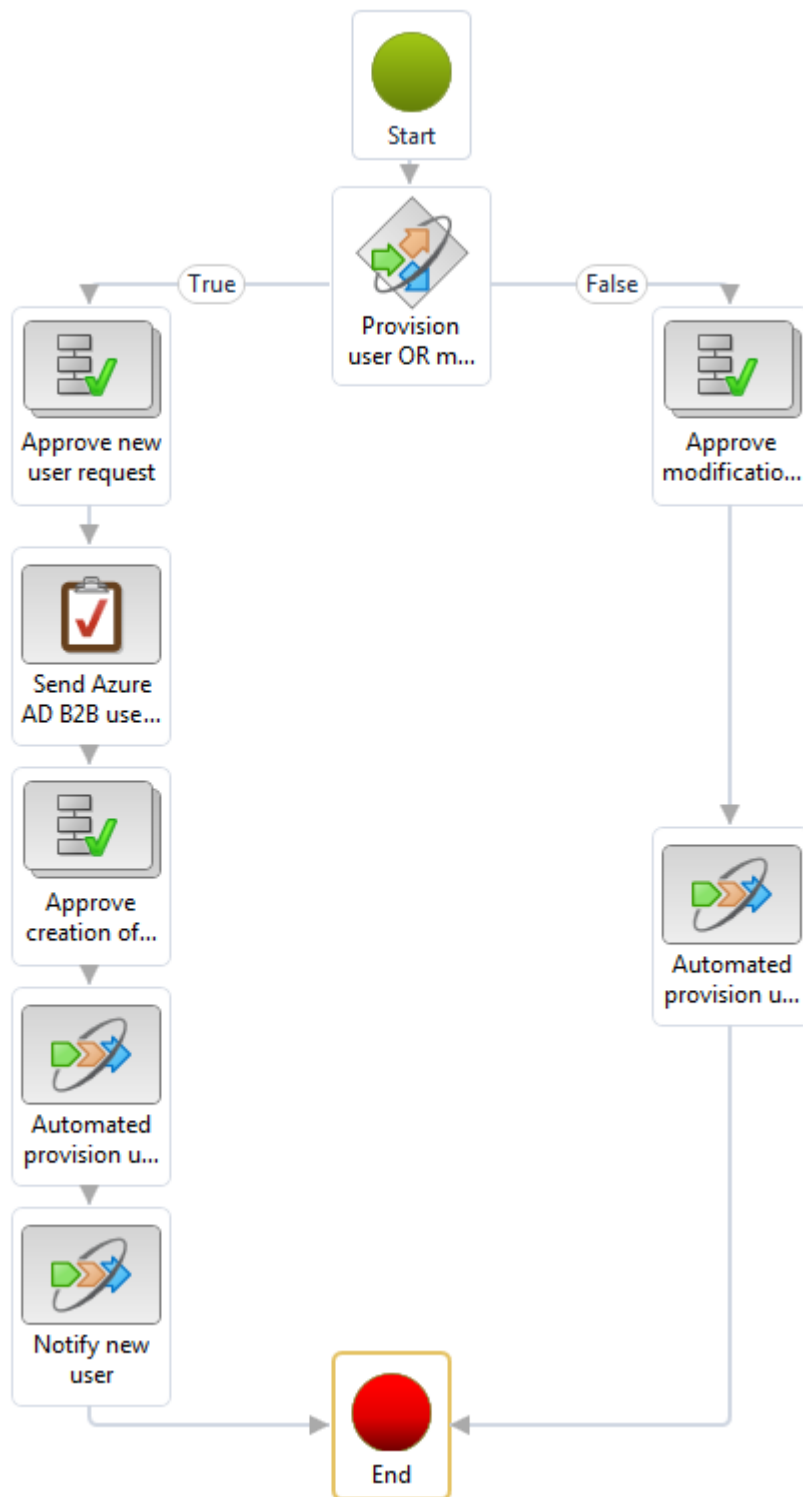
Type in the **Information message** in the Details section.



## User workflows

Navigate to ***System administration > Workflow > User workflows.***

Create new workflow with the Vendor user request (new user or modify user) type. The below is an example of the workflow that is configured for the Contoso demo data.



## Vendor setup

Navigate to **Accounts payable > Vendors > All vendors**.

On the General FastTab select value in the **Collaboration activation** field. The possible values:

**None:** Vendor collaboration functionality is inactive for the corresponding vendor.

**Active (PO is auto-confirmed):** Purchase orders are automatically confirmed if the vendor accepts them without changes

**Active (PO is not auto-confirmed):** Purchase orders are not automatically confirmed if the vendor accepts them without changes. Purchasing agent from your company must confirm purchase order manually.

The screenshot shows the Dynamics 365 interface for a Vendor (Vendor collaboration). The 'VENDOR COLLABORATION' section is highlighted with a red box, indicating the 'Collaboration activation' is set to 'Active (PO is auto-confirmed)'. Other visible fields include 'Name', 'Search name', 'Type', 'Organization', 'Organization details', 'ABC code', 'DUNS number', 'Other information', and 'Registration ID search'.

On the Purchase order details FastTab select **Purchase order prices/amount** flag if you want your supplier to see price information.

The screenshot shows the Dynamics 365 interface for Purchase order details. The 'Purchase order prices/amount' flag is highlighted with a red box, indicating it is set to 'Yes'. Other visible fields include 'Purchase order', 'Item - vendor group', 'Purchase pool', 'Purchase calendar', 'Price group', 'Line discount group', 'Discount', 'Supplementary item', and 'Change management for purchase orders'.

## Add vendor contact

Navigate to **Accounts payable > Vendors > All vendors**.

Click **Contacts -> Add contacts** on the Action pane on the Vendor tab.

**Dynamics 365** ▾ **Finance and Operations** Accounts payable > Vendors > All vendors

Save + New Delete **VENDOR** PROCUREMENT INVOICE GENERAL OPTIONS 🔍

**MAINTAIN** On hold ▾ **COPY** Add vendor to another legal entity ▾ **SET UP**

Contacts ▾ Summary update Purchase orders with retention  
View contacts  
Add contacts **←**  
Add to Microsoft Outlook contacts

Product filters

**ALL VENDORS**

GFE-00002 : Vendor (Vendor collaboration)

**General**

Change party association

**IDENTIFICATION**

Vendor account  
GFE-00002

Type  
Organization

Name  
Vendor (Vendor collaboration) ▾

Search name  
Vendor (Vendor colla

Group  
10 ▾

**ORGANIZATION DETAILS**

Number of employees  
0

Organization number

Once you add new contact, click **Provision vendor user** button on the Contact tab in the Requests section.

**Dynamics 365** ▾ **Finance and Operations** Accounts payable > Vendors > All vendors USER

Save + New Delete **CONTACT** COMPETENCIES MARKET GENERAL OPTIONS 🔍

**MAINTAIN** Inactivate Allow access to vendor collaboration  
Activate Remove access to vendor collaboration

**INCLUDE** Add to Microsoft Outlook contacts

**ACCOUNTS** Customer Vendor Prospect

**REQUESTS** Provision vendor user  
Inactivate vendor user  
Maintain vendor user roles  
Vendor collaboration user requests **←**

**ATTACHMENTS** Attachments

**CONTACTS : 000002230 : VENDOR (VENDOR COLLABORATION)**

000008 : Dmytro DMI

**General**

**CONTACT**

Contact ID  
000008

Contact for  
Vendor (Vendor collaboration)

First name  
Dmytro

Middle name

Last name prefix

Last name  
DMI

**Search name**

Dmytro DMI

Personal title

Personal suffix

**OTHER INFORMATION**

Address books

Language  
en-US

**NAME DETAILS**

Display as  
FirstMiddleLast

**PERSONAL INFORMATION**

Gender

Marital status  
None

**STATUS**

Inactive  
No

**VENDOR COLLABORATION**

Vendor collaboration access allowed  
No

Show more fields

## Provision vendor user

By provisioning vendor user, you determine that contact which you are provisioning will be created as a user and will get the access into D365 and will do all activities from vendor side like approving purchase orders.

In the Provision vendor user form, set **Vendor collaboration flag**.  
Select which roles should be assigned to the user.

Provision vendor user

**IDENTIFICATION**

First name  
Dmytro

Middle name

Last name  
DMI

Personal title

**USER SETUP**

Email (user alias)  
dmytro...

Language  
en-us

Business justification  
Vendor representative

Legal entities the person is a contact for

| Legal entity in my company    | Legal entity in customer company | Inactive ▾ | Vendor collaboration access allowed |
|-------------------------------|----------------------------------|------------|-------------------------------------|
| Vendor (Vendor collaboration) | Contoso Entertainment System ... | No         | <input checked="" type="checkbox"/> |

Assign user roles

Role description

|                                                                                                    |                                     |
|----------------------------------------------------------------------------------------------------|-------------------------------------|
| Maintains vendor documents and responds to vendor inquiries in the vendor collaboration interface. | <input checked="" type="checkbox"/> |
| Maintains vendor contact persons and vendor user requests                                          | <input checked="" type="checkbox"/> |

Submit Cancel

Click **Submit** button.  
As the result new vendor user request will be created.

Dynamics 365 ▾ Finance and Operations Vendor collaboration > Contacts > All contacts

Save + New Delete Provision vendor user Inactivate vendor user Maintain vendor user roles OPTIONS

**PERSONALIZE**  
Always open for editing  
Personalize this form  
Add to workspace ▾

**PAGE OPTIONS**  
Security diagnostics  
Advanced Filter/Sort

**EDIT**  
Record info  
Change view ▾

**EDIT**  
Read mode  
Revert

**SHARE**  
Get a link ▾

The vendor collaboration access setting has been successfully applied and the request to create a new user has been submitted. Once your request has been processed, the status of the user request will be set to Completed.

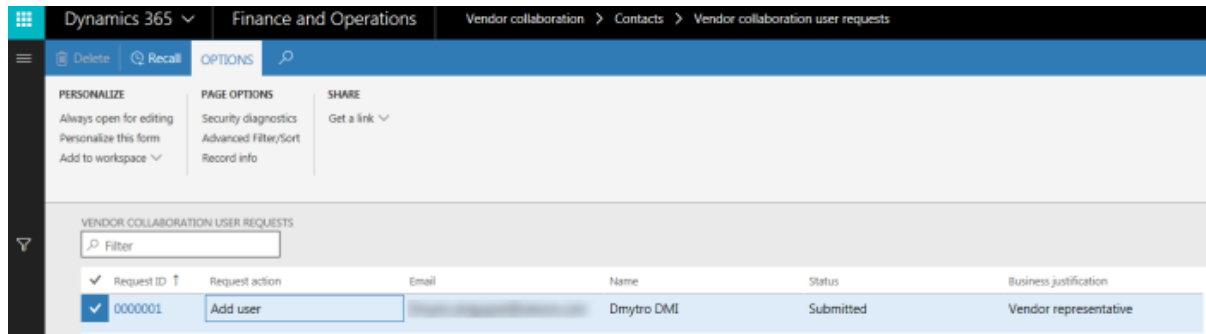
CONTACTS

dm

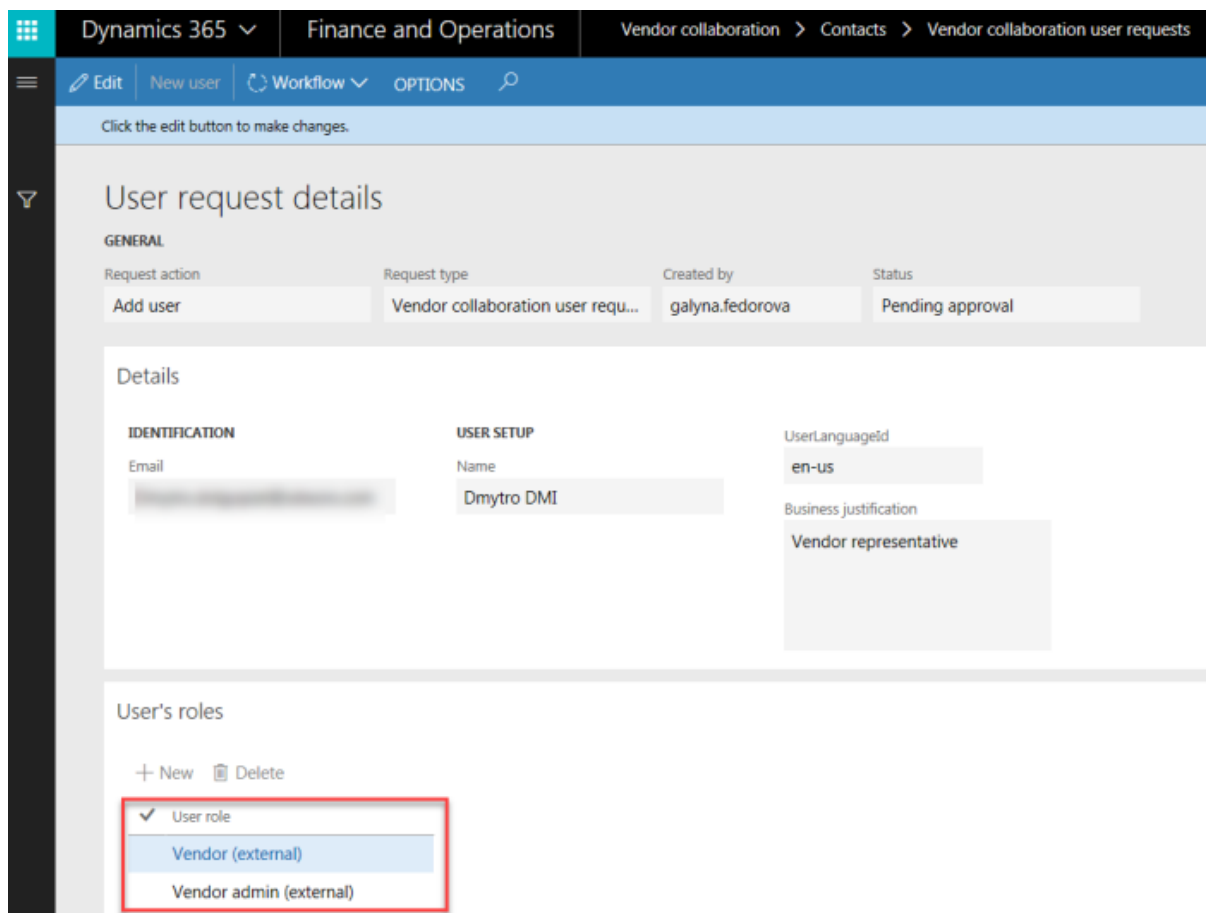
| ✓ | Name       | Personal title | Primary email | Email (user alias) | User account activated   |
|---|------------|----------------|---------------|--------------------|--------------------------|
|   | Dmytro DMI |                |               |                    | <input type="checkbox"/> |

Go to **Vendor collaboration > Contacts > Vendor collaboration user requests**.

Created request will be displayed with the **Submitted** status and workflow will be started.



Go into details and check the roles that will be assigned to the user.



Approve the request by clicking **Workflow -> Approve** button.

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## Vendor user request (new user or modify user) - Approve

Comment

Once you approve the request, the status will be changed into **Pending approval**.

After workflow is executed, status will be changed to **Azure AD B2B user invitation pending**.

New button **Export user invitation file** will be available. It will export csv file with the connection information.

Dynamics 365 Finance and Operations Vendor collaboration > Contacts > Vendor collaboration user requests

Edit New user Export user invitation file Workflow OPTIONS

Click the edit button to make changes.

### User request details

**GENERAL**

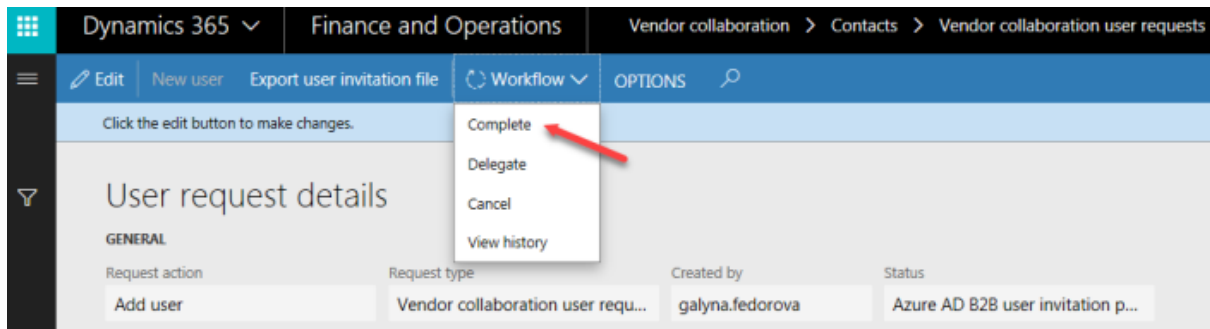
| Request action | Request type                      | Created by      | Status                            |
|----------------|-----------------------------------|-----------------|-----------------------------------|
| Add user       | Vendor collaboration user requ... | galyna.fedorova | Azure AD B2B user invitation p... |

**Details**

| IDENTIFICATION | USER SETUP |                        |
|----------------|------------|------------------------|
| Email          | Name       | UserLanguageId         |
| [redacted]     | Dmytro DMI | en-us                  |
|                |            | Business justification |
|                |            | Vendor representative  |

**Complete** the workflow by clicking **Workflow -> Complete button**.



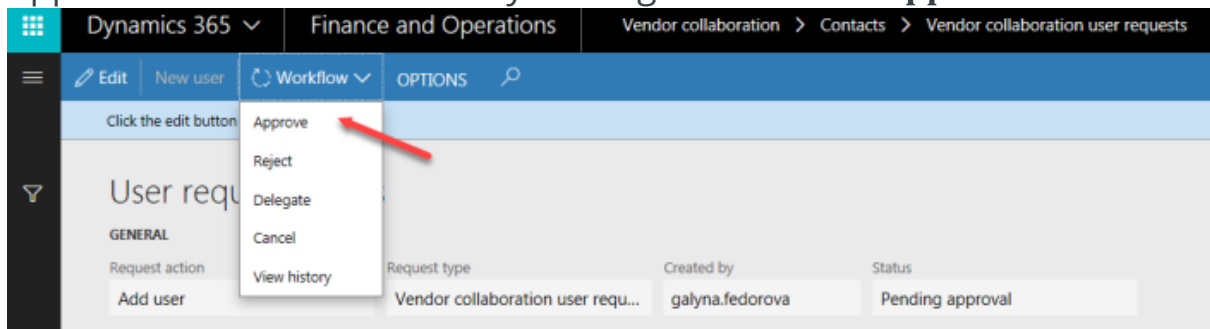


Vendor user request (new user or modify user) - Complete

Comment

And again, Pending approval status will be set and **Approve creation of AX user** task will be started.

Approve creation of AX user by clicking **Workflow -> Approve button**.



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## Vendor user request (new user or modify user) - Approve

Comment

Workflow will be completed. Workflow activity will look like below and you can compare the activities with the workflow provided at the beginning.

- Workflow activated (000746)
  - Conditional decision evaluation (Provision user OR modify roles)
  - Approval started (Approve new user request)
    - Approval completed (Approve new user request)
  - Task started (Send Azure AD B2B user invitation)
    - Task completed (Send Azure AD B2B user invitation)
  - Approval started (Approve creation of AX user)
    - Approval completed (Approve creation of AX user)
  - Automated task started (Automated provision user 1)
    - Automated task completed (Automated provision user 1)
  - Automated task started (Notify new user)
    - Automated task completed (Notify new user)

Workflow completed

Dynamics 365

Finance and Operations

Vendor collaboration

>

Contacts

>

Vendor collaboration user requests

Delete

Recall

OPTIONS

PERSONALIZE

Always open for editing

Personalize this form

Add to workspace

PAGE OPTIONS

Security diagnostics

Advanced Filter/Sort

Record info

SHARE

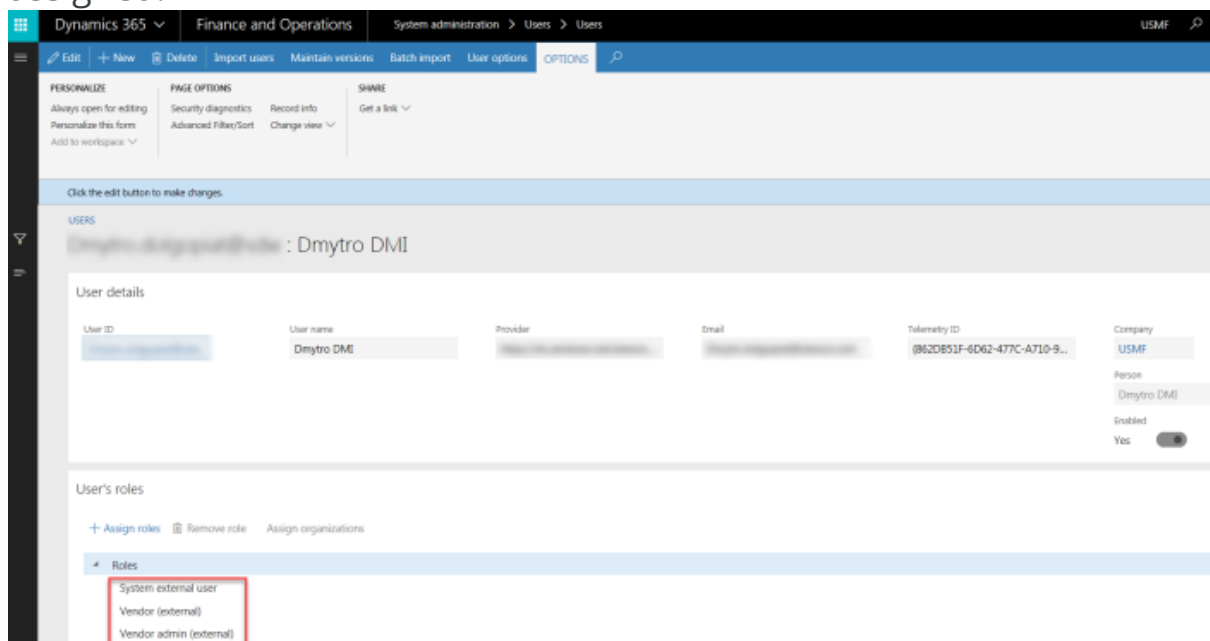
Get a link

VENDOR COLLABORATION USER REQUESTS

Filter

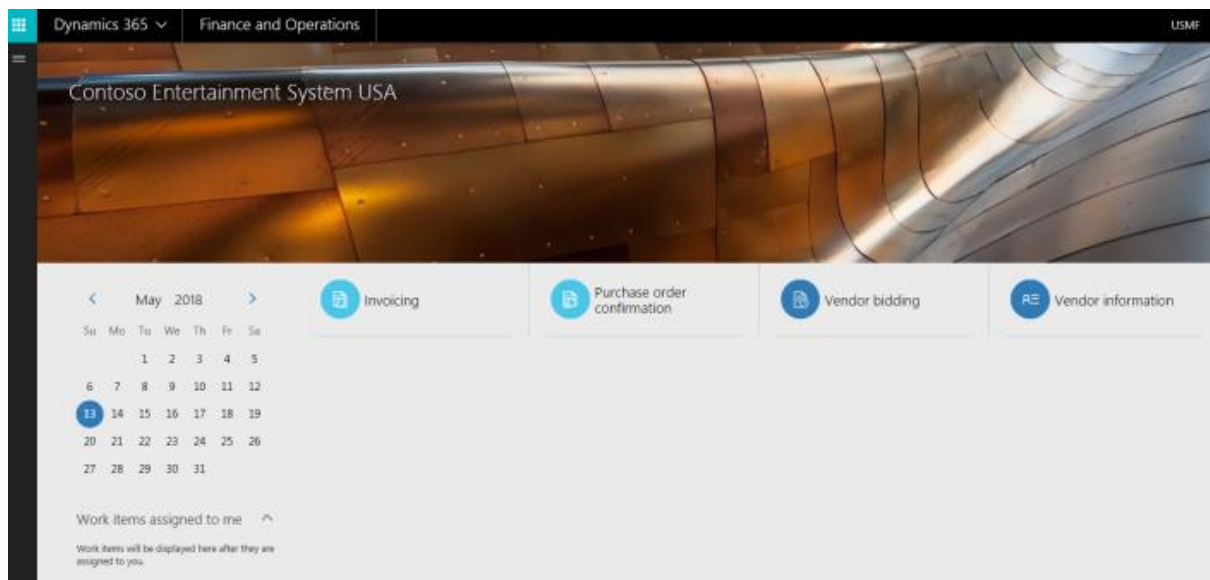
| Request ID | Request action | Email | Name       | Status    | Business justification |
|------------|----------------|-------|------------|-----------|------------------------|
| 0000001    | Add user       |       | Dmytro DMI | Completed | Vendor representative  |

If you go to **System administration > Users > Users**, you will notice that the new requested user has been created and 3 roles have been assigned.

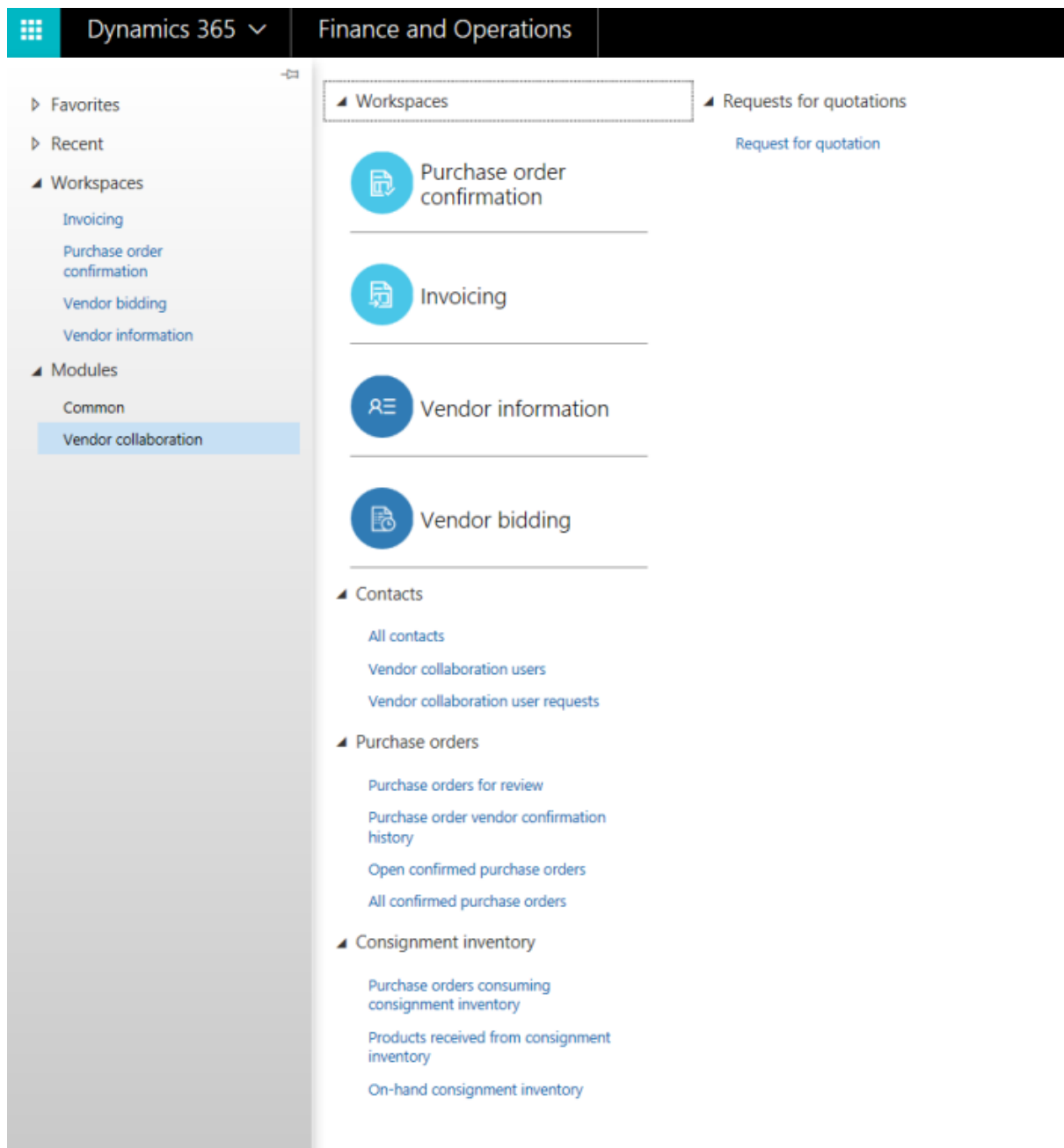


Let's login under vendor contact person that we have just provisioned.

The following workspaces are available.



Only Vendor collaboration module is available.



## Change management activation

Depends on the change management parameter, purchase order will go through one or another flow and statuses of the purchase order will depend on this parameter as well.

For our example, we will keep this setting off.

Change management functionality can be reviewed here: [D365 Change management Walkthrough](#)

Create new purchase order by navigating to **Accounts payable > Purchase orders > All purchase orders**.

Status of the purchase order will be set to **Approved**.

Send for vendor confirmation by clicking **Send for confirmation** button on the Purchase tab in the Vendor collaboration section.

The screenshot shows the Dynamics 365 Finance and Operations interface. The breadcrumb navigation is 'Accounts payable > Purchase orders > All purchase orders'. The main header shows '00000125 : GFE-00002 - Vendor (Vendor collaboration)' with a status of 'Approved'. The 'VENDOR COLLABORATION' section is visible, and the 'Send for confirmation' button is highlighted with a red arrow.

Click **OK** on the Send purchase order for confirmation form.

Send purchase order for confirmation

The screenshot shows the 'Send purchase order for confirmation' form. The 'Settings' section includes 'Parameters' (Quantity: Ordered quantity, Posting: Yes), 'PRINT OPTIONS' (Print: Current, Print purchase order: No), and 'SETUP' (Check credit limit: None). The 'Overview' section shows a table with one row: 'Purchase order' with ID '00000125' and Name 'Vendor (Vendor collaboration)'.

Status will be changed to **In external review**.

Dynamics 365 Finance and Operations Accounts payable > Purchase orders > All purchase orders USMF

Save New Delete PURCHASE ORDER PURCHASE MANAGE RECEIVE INVOICE RETAIL WAREHOUSE TRANSPORTATION GENERAL OPTIONS

CREATE CHARGES TAX CALCULATE PREPAY GENERATE ACTIONS ACCOUNTING JOURNALS VENDOR COLLABORATION

Operation completed

ALL PURCHASE ORDERS

00000125 : GFE-00002 - Vendor (Vendor collaboration) Lines Header Open order In external review

Purchase order header

DELIVERY Delivery date 5/14/2018

DISCOUNTS Total discount % 0.00

REPLENISHMENT Service category Location

CROSS DOCKING DATES Delivery date 5/14/2018 Cross docking date

Local delivery date Sales date

PRODUCT/ORDERS CREATION Auto created No Origin Purchase

Login under vendor contact person.

Navigate to *Vendor collaboration > Purchase orders > Purchase orders for review*.

Dynamics 365 Finance and Operations Vendor collaboration > Purchase orders > Purchase orders for review USMF

Preview/Print Accept Reject Suggest changes Changes Notes and attachments OPTIONS

Filter

00000125 5/14/2018 Unanswered

Received purchase order

Header

ORDER Purchase order 00000125 Purchase order status Open order Order version 00000125-1 Date time received 5/14/2018 08:57:16 PM

Response status Unanswered Your document reference Has notes and attachments No

AMOUNT Amount 3,027.10 Total discount % 0.00 Currency USD

PAYMENT Terms of payment Net30 Method of payment

Mode of delivery Delivery terms Address 123 Coffee Street Suite 300 Redmond, WA 98052 USA

DELIVERY Earliest requested delivery date 5/14/2018

VENDOR Vendor account Vendor (Vendor collaboration) Invoice account Vendor (Vendor collaboration)

Lines

Display dimensions Charges Notes and attachments

| Line number | Item number | Name            | Procurement category | Delivery date | Confirmed deliv... | Quantity | Unit price | Unit | Discount | Discount percent |
|-------------|-------------|-----------------|----------------------|---------------|--------------------|----------|------------|------|----------|------------------|
| 1           | D0001       | MidRangeSpeaker |                      | 5/14/2018     |                    | 10.00    | 302.71     | ea   | 0.00     | 0.00             |

Approve purchase order by clicking **Accept** button.

Click **OK** on the Accept form.

Accept

General

Notes

Notice that message is displayed based on the Information for vendors responding to POs setup.

By accepting this purchase order you confirm to agree with the terms and conditions found at [www.contoso.com](http://www.contoso.com). You will soon receive a purchase order in status Confirmed in your list of confirmed orders.

Thank you for your collaboration.

OK

Cancel

Status will be changed to **Confirmed**.

The screenshot shows the Dynamics 365 Finance and Operations interface for a purchase order. The top navigation bar includes 'Dynamics 365', 'Finance and Operations', 'Accounts payable', 'Purchase orders', and 'All purchase orders'. The main header shows '00000125 : GFE-00002 - Vendor (Vendor collaboration)' with tabs for 'Lines', 'Header', 'Open order', and 'Confirmed'. A red arrow points to the 'Confirmed' tab. The 'Purchase order header' section includes fields for 'Delivery date' (5/14/2018), 'Total discount %' (0.00), 'Service category', 'Location', 'Delivery date', 'Cross docking date', 'Local delivery date', 'Sales date', and 'Product/Order creation' (No). The 'Purchase order lines' section shows a table with columns for 'Line', 'Item number', 'Product name', 'Prod.', 'Variant', 'Site', 'Warehouse', 'CW (L)', 'CW (U)', 'Quantity', 'Unit', 'Unit price', 'A.', 'D.', 'Net amount', 'Adjusted net s.', and 'Quality order status'. The first line is '1 : 00001 : MidRangeSpeaker' with a quantity of 10.00 and a unit price of 302.71.

In general, the status flow of purchase orders will be the next:

